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ANCHORS DROPPING OUT in Q3 of 2009

Shopping Centre	Location	Anchor vacated
Ashoka Mall	Banjara Hills, Hyderabad	Pantaloons, Spencer's
Dev Arc Mall	Satellite Road, Ahmedabad	Indiabulls Megastore and Magnet Hyper
Mega Mall	Kanpur	Globus
DLF Place	Saket, Delhi	Debenhams
Vipul Agora	Gurgaon	Converted into commercial use/offices
DLF Star Mall	Gurgaon	Vacant

Developers made the mistake of treating the mall business like any other real estate business and started selling retail space to investors.

would vouch for the city's spending power, with its sales of over 200 cars last year. Explains Kishore Biyani, chairman of the Future Group, "There have been mishaps in the industry, where players came up with offerings that did not keep the consumers in mind, but the industry is learning fast from its mistakes."

Cracks started appearing in the industry in the second half of 2008, when the retailers couldn't afford the high rentals as revenue growth turned negative. According to a retail report by Cushman and Wakefield, sustainability has become the main issue for retailers and brands and many are working towards innovative revenue models and retail formats. In the last couple of quarters, retailers across India have resized stores, renegotiated rentals and exited unviable locations. Players like Indiabulls have decided to exit the mall business while other developers are going slow on it. Sameer Gehlaut, chairman, Indiabulls, explains: "We exited because retailers don't have the capacity to pay rentals that make the economics of mall development comparable to residential development."

Another instance of a development going wrong is the 500,000 sq ft Vasant Square Mall in Delhi's Vasant Kunj area. Promoted by Suncity Projects, the mall failed to take off as this property

came under a community centre category and the developers couldn't build a cinema hall. Many retailers backed off and moved to other malls in the vicinity, which had a cinema. "If I had a cinema I could have got better footfalls", says Gaurav Bansal, director, Suncity Projects. Also as rentals moved up from Rs 80/sq ft in 2005 to Rs 350/sq ft in recent times, retailers moved out. Bansal admits that retailers weren't coming in at this rate. So they decided to change their strategy and started attracting companies for corporate offices and other commercial ventures like banks and car showrooms.

The retail business, like many other businesses, is paying for its excesses now. If the traffic in malls is any indicator, the organised retail business is likely to take much longer to touch \$10 billion from the current \$4-billion level. Says Abhishek Kiran Gupta, head of research at Jones Lang LaSalle Meghraj: "The mall business is in trouble as developers thought of it as any other real estate business and sold the property. A mall is finished if it's following a sale model."

Hoping to catch the high growth wave, real estate developers and retailers decided to capture a share of the consumer's wallet by creating

fancy infrastructure, without focusing on the demographics and their requirements. Builders thought they could double profits out of the same parcel of land by developing it into a mall, retailers mindlessly expanded their footprint to get higher valuations. The economic slowdown has clearly taken the Mickey out of both. Peak rentals of Rs 400 to Rs 800 per sq ft are now down by almost 50 per cent and for anchors it's even more affordable.

Given that the mall business is still in its infancy in India, most developers sold spaces in their malls to investors, who, in turn, leased out the space to retailers. In the absence of any science being applied to the business, the retail mix in such malls went for a toss. A mall in Hyderabad had a hypermarket and a lifestyle store sitting next to each other, which experts say is a big no-no. Says Manoj Motta, CEO of Shopping Centres Association of India (SCAI): "Mall developers and retailers need to plan the merchandising by the customer needs. Just the way a store has to choose appropriate merchandise, so does a mall need to have a good mix of good retailers. To get couple of anchor tenants is not enough to make a mall successful." This is clear as brands like Debenhams, Pantaloon and Spencer's have moved out of several malls in India, which did not assess the need of